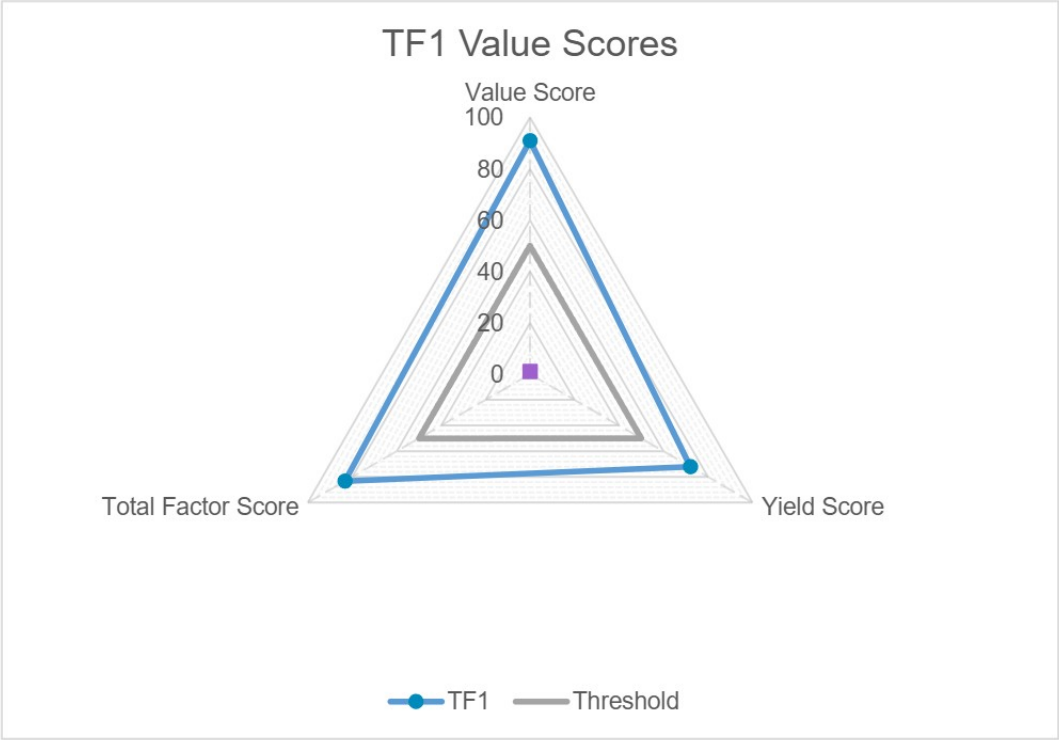


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QESM SCORES



BUSINESS IN BRIEF

France's leading commercial broadcaster, majority-controlled by Bouygues SA, navigating structural linear TV decline.

BUSINESS

Television Francaise 1 SA, also known as TF1, is a French company primarily engaged in television broadcasting and communication services. The Company is in the French audiovisual sector, active in the publishing, production and broadcasting of content.

TF1 earns most of its money by selling advertising space across its television channels and the TF1+ streaming platform. It also generates revenue from producing and distributing television programmes and films through Studio TF1, selling content rights internationally, charging distributors to carry its channels, and offering subscriptions and micropayments on TF1+. Advertising remains the main revenue source

VOLATILITY & LIQUIDITY

Metric	TFI FP Equity	MXWOIM Index Median Stock
30-Day Volatility	17.69%	14.85%
260-Day Volatility	20.15%	16.05%
36-Month Volatility	22.02%	17.32%

TFI FP volatility is approximately 4–5 percentage points above the median stock on a 260-day and 36-month basis. This reflects the structural uncertainty around French linear TV advertising revenue and the ongoing digital transition. The 30-day volatility of 17.69% suggests near-term uncertainty stays elevated.

BALANCE SHEET AND FINANCIAL STATEMENT ANALYSIS

Total Revenue increased sharply from €495.5m in Q3 2025 to €698.6m in Q4 2025 (+41%), before declining to €471.9m in Q1 2026 (-32%) and then recovering modestly to €521.5m in Q2 2026 (+10.5%). The subsequent decline in Q1 reflects the normalization of advertising budgets after year-end campaigns, while the rebound in Q2 suggests improving advertising demand and potentially stronger content monetization compared with the previous quarter.

TF1's EBITDA recovered from €95.4m in Q1 2026 to €117.4m in Q2 2026 (+23%), outpacing revenue growth of 10.5%. This indicates improving operating leverage, where higher advertising and digital revenues are translating into stronger profitability. The Q2 rebound suggests that the Q1 weakness was largely seasonal and that earnings momentum is beginning to improve.

TF1's **gross profit** recovered strongly in Q2 2026, rising from €199.3m to €267.8m and pushing gross margin above 50%. The improvement suggests that the company benefited from a stronger revenue mix and better cost efficiency, allowing profitability to grow faster than sales.

TF1's current **trailing P/E** of 11.3x is broadly in line with both its recent historical trading range (10-12x) and European broadcasting peers. The valuation does not suggest either significant optimism or distress. The more notable feature of the valuation is the sub-1x **price-to-book ratio** (0.71x), indicating investor scepticism regarding the long-term growth profile of traditional broadcasting assets despite continued profitability and cash generation.

Diluted EPS rebounded sharply from €0.03 in Q1 2026 to €0.21 in Q2 2026 (600% upside), driven by recovering revenues, improved operating leverage, and a lower tax burden. The strong earnings recovery suggests that the weakness in Q1 was largely seasonal.

Operating profit rose sharply from €9.5m in Q1 2026 to €60.3m in Q2 2026, an increase of **€50.8m**, mainly due to strong gross-margin expansion. Revenue increased by 10.5%, but gross profit grew by 34.4%, lifting the gross margin from 42.2% to 51.4%. This suggests a better revenue mix, lower direct costs and improved cost absorption. The increase was amplified by Q1's unusually low profit base and possibly lower depreciation or amortisation charges. Overall, the recovery appears legitimate but reflects seasonality and cost discipline rather than a clear recovery in traditional TV advertising.

TF1's **EV/EBITDA** increased from 1.62x in March 2026 to 1.92x in June 2026, suggesting a modest rerating following the recovery in EBITDA and operating profit. Nevertheless, the multiple remains below the 2.07x recorded in December 2025 and indicates that the market continues to price in substantial risks from declining linear advertising and uncertain digital monetisation.

TF1's **debt-to-equity** ratio remained low at 10.22% in June 2026, well below the peer median of 44.58%. This reflects TF1's strong cash generation, limited reliance on borrowing and historically conservative funding structure. The company primarily funds content investment and operations through internally generated cash, leaving it with low financial risk and greater flexibility to support dividends and digital expansion.

FINANCIAL STRENGTH RATINGS

Bloomberg DRSK score not available

At an **Altman Z-Score** 1.98 as of 2026-08-13,

TF1's Altman Z-score of 1.98 places the company in the "grey zone," just above the traditional distress threshold of 1.81 and below the safe-zone threshold of 2.99.

Given TF1's net cash balance sheet and strong interest coverage, the Z-score positioning likely reflects the structural revenue pressures in linear TV rather than genuine financial distress risk.

ANALYSIS OF ENVIRONMENTAL, SOCIAL & GOVERNANCE CHARACTERISTICS

TF1 has set Science Based Targets initiative-approved goals to reduce scope 1 and scope 2 emissions by 42% by 2030 (2021 baseline), reduce energy consumption by 40% between 2011 and 2028 and apply eco-protection measures across TF1 production and studio by 2028

11 directors, average tenure of 7.3 years. Bouygues controls 46.8% of TF1 (Bouygues acquired control of TF1 when the French television channel was privatised in 1987 - very large shareholder influence so it may help long term stability but limits the influence of external minorities)

No major controversies, 15 sustained whistleblowers with no major convictions or fines

Ongoing litigation, €46 million Canal + claim connected with a trademark commercial dispute

The key issue for future ESG performance is whether TF1 can convert extensive policies and initiatives into measurable outcomes, particularly for Scope 3 decarbonisation, eco-production coverage, pay equality, supplier performance, digital emissions and data governance.

PROSPECTS

Continued TF1+ growth: Streaming is TF1's clearest growth opportunity. TF1+ advertising revenue increased by about 19% in H1 2026, while total digital revenue rose 17.1% to €134m

Benefits from the Netflix partnership: TF1 content is now available through Netflix in France, which should increase audience reach, engagement and advertising inventory. Early performance included a record 8.3 million daily unique streamers on 25 June 2026.

More diversified digital income: TF1 is expanding beyond conventional advertising through TF1+ Premium, micropayments, addressable television and content purchases. More than 800,000 micropayment transactions were completed in H1 2026.

TI FP has returned approximately +18.5% since Belmer's appointment (Oct 2022 – Jul 2026) versus +87.4% for the MXWOIM Index — a cumulative gap of ~69 percentage points. (Source: Bloomberg price data)

Limited short-term visibility: Management maintained its 2026 targets for strong double-digit digital growth and a mid-to-high single-digit operating margin but warned that visibility remains limited because of the difficult advertising and regulatory environment.

Access to new advertisers: TF1's self-service advertising platform and SME-focused products could make television and streaming advertising accessible to smaller companies, broadening its customer base.

TF1's future depends on whether growth from TF1+, Netflix distribution, micropayments and Studio TF1 can eventually outweigh the structural decline in linear advertising. The digital transition is progressing well, but I think TF1 remains a mixed value-and-transition story rather than a pure growth company.

SUMMARY

TF1 is a financially conservative, net-cash French broadcaster with a strong dividend track record and no material solvency risk. However, structural decline in linear TV advertising — compounded by French macro and political headwinds — is compressing revenue, margins, FCF, and ROE. The digital pivot via TF1+ shows genuine momentum, but consensus estimates point to further

earnings deterioration in FY2026–27. The Altman Z-Score (2.98) sits in the grey zone, and the Netflix partnership are key catalysts to monitor but no reason to reject.

ANALYST CHECKLIST

Regular dividend paid	☒
No liquidity issues	☐
Enough free float	☒
No shareholders with superior voting rights	☒
No large pension deficit	☒
Healthy solvency ratios/Ability to meet debt obligations	☒